



Assignment on Adam Smith and His Ideas

Econ 408: Economic Thoughts in Perspective

Assigned by:

Kawsar Hossain Sojib

Lecturer

Department of Economics

Jahangirnagar University

Submitted by:

Team Chronicles

Team Members:

Sadiqun Nahar (443)

Tamim Husain Fahad (476)

Zaheen Ibnat Lamia (450)

Shariful Islam (482)

Khadija Tabassum Proma (460)

Md Sakib (496)

Hafiza Afrin (466)

Md Nayeem Ahmed (500)

Mahfuza Anjum (470)

Ashikur Rahman (502)

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Adam Smith and His Ideas

Adam Smith was born in the Scottish village of Kirkaldy around 1723. While pursuing his education, he majored in mathematics, natural philosophy, and moral and political sciences. He studied at Glasgow and Oxford Universities between the years 1737 and 1746, and he taught at Glasgow from 1751 to 1764. He was a professor of logic at Glasgow before switching to teach moral philosophy. One of his two major works, *The Theory of the Moral Sentiments*, a book on social and moral philosophy, was published in 1759. From 1764 to 1766, he lived in France for two years, interacting with many of the country's top thinkers, notably the Physiocrats Quesnay and Turgot. His most significant work, *An Inquiry into the Nature and Causes of the Wealth of Nations* (often referred to as *The Wealth of Nations*), was published in 1776.

He was the first economist to approach economic issues methodically. He is the first academic economist, in other terms. He has earned the title of "Father of Political Economy" with justification. Alexander Gray is correct when he says, "With Adam Smith, we have reached the stage of discussing economics, whereas there had been many economic discussions before him."

He recognized the significant linkages between the main social classes, the various production sectors, the wealth and income distributions, trade, the circulation of money, the processes of price formation, and the processes of economic growth. He frequently relied on the findings from his model to inform his policy recommendations. Since Smith, the writings of the majority of significant economists have been characterized by these systematic conceptions of capitalism, whether taken as a whole or in part.

Historical Context of Smith's Ideas

The most important development throughout the industrial revolution was without a doubt the discovery of the steam engine. Industrial steam engines were created at the beginning of the 17th century, but because of mechanical problems, they were limited to pumping water out of mines. In 1769, James Watt developed an engine with exacting enough parameters to turn the straight push of a piston into rotary motion.

They were able to begin mass-producing steam engines because of Watt's financial means and a connection with a Birmingham manufacturer named Boulton. At the turn of the century, steam quickly displaced water as the main source of energy in industrial settings. Steam power's development led to major changes in the economy and society.

There was phenomenal expansion in the big manufacturing cities. Manchester, for instance, had population growth from 17,000 in 1760 to 237,000 in 1831 and 400,000 in 1851. The output of manufactured goods doubled during the second half of the eighteenth century and increased even more quickly during the first decade of the nineteenth century. Over 40% of the English labor force was employed in manufacturing and mining by 1831 compared to just over 30% in 1801. As a result, the factory system predominated in England following the Industrial Revolution, which made it a nation of sizable metropolitan manufacturing centers. The result was a very rapid growth of productivity that vaulted England into the position of the greatest economic and political power of the nineteenth century.

Adam Smith's economic thought was influenced by three key factors:

1. **Predecessors**
 2. **Clubs and travels and**
 3. **The economic and political conditions.**
- **Predecessors:** Adam Smith was influenced by later **mercantilists like Petty, North, Child, Tucker, and Cantillon in his economic thinking.** They supported greater open commerce, emphasized the value of labor, and believed that a big population had benefits. Adam Smith borrowed the principles of taxation and public finance from Petty. Smith borrowed liberally from his teacher at Glasgow, Francis Hutcheson the ideas regarding the division of labor, changes in the value of money, taxation, etc. Many of Smith's concepts on international trade, money, labor, and interest can be attributed to David Hume. Finally, Smith's views on self-interest and public interest were affected by Bernard de Mandeville's poem "**The Fable of the Bees.**"

- **Clubs and travels:** Adam Smith's economic theories were also impacted by the clubs he joined in Glasgow and Edinburgh. Numerous issues of economic significance were explored in these clubs. Additionally, he had the chance to meet illustrious physiocrats and other academics when traveling with the Duke of Buccleuch.
- **The Economic and political conditions:** Adam Smith's opinions and thoughts were shaped by the political and economic circumstances of the day. In England, major developments occurred in the latter half of the 18th century. Large agricultural estates were emerging. Agriculture and industrial production rose as a result of the growing population. Capitalization aided in the expansion of trade and transportation. Smith borrowed many ideas from his predecessors, but the importance of his contributions cannot be minimized. He collected the scattered ideas, gave them a shape, and enhanced their significance. His work thus created a revolution in the domain of economic thinking.

Economic Ideas of Adam Smith

Adam Smith wrote “The Wealth of Nations” when the Industrial Revolution was only just beginning, attests to the fact that many of the economic characteristics that would come to dominate the great industrial cities of the early nineteenth century were present in some form in some mid-eighteenth-century English and Scottish cities (particularly Glasgow) and that Adam Smith was a most perceptive social-scientist.

Labor: The importance of the terms *Labor* and *Division of labor* can be attributed to Adam Smith's good presentation of the topics in "Wealth of Nations." Before Adam Smith, however, The Physiocrats believed that only land could be productive. The concept of labor being productive was never accepted. However, according to Adam Smith, the most significant factor boosting a country's prosperity is labor. Smith did not disregard the significant role that nature played in production when he emphasized the value of labor. He was aware that both the physical environment and labor impacted a country's level of prosperity. Adam Smith makes a distinction

between labor that is productive and that that is not. Smith provided two definitions of productive labor:

- (1) The labor used is productive and results in the production of durable (marketable) goods. The criteria are known as the durable-vendible-commodity criteria.
- (2) The labor is beneficial to the product and adds value. Value-added criteria is the term for this.

According to the first criterion, productive labor is defined as work that creates accumulable durable goods. Contrarily, unproductive labor creates services that are immediately consumed. For instance, a personal servant's work is unproductive compared to that of a worker in a shoe factory.

On the Contrary, the value-added criterion states that productive labor not only supports itself but also generates income for its employers.

Adam Smith discussed the *division of labor* in his famous book “Wealth of Nations”. Division of labor is a process by which a particular type of labor that produces goods to satisfy individual needs is transformed into social labor which produces goods for all. According to Smith's research, a single pin maker could only produce 20 pins a day while working by themselves. However, he could make 4800 pins every day with the correct labor allocation.

The benefits of labor division are as follows, according to Adam Smith:

- (1) It boosts labor productivity through specialization.
- (2) Production rises when tasks are divided and completed more rapidly.
- (3) When a job is broken up into several smaller tasks and a worker is assigned to do just a small portion of the larger task, worker productivity and skill levels rise.
- (4) Time and resources are conserved.
- (5) Rapid output growth creates an incentive for investors.

The drawbacks of division of labor were also highlighted by Adam Smith:

- (1) Since a worker can only perform one or two tasks, there is no personal gratification in producing a finished good.
- (2) As a result of specialization, labor becomes immobile.

- (3) The worker becomes bored as they constantly complete the same task, which results in mental stagnation.

Capital: According to Smith, the capital is a source of economic prosperity for the country. It contributes more to output. Capital appears in three forms in his book "Wealth of Nations":

- (1) As a tool of production
- (2) To sustain the workforce and
- (3) As a way to make money.

Smith argued that there are four main methods of using capital:

- (1) In purchasing raw resources yearly for society's usage
- (2) In the production of raw materials
- (3) When transferring the final products and
- (4) In the distribution.

In other words, capital is used in agriculture, mining, and fishing, followed by manufacturing, wholesale distribution, and retail distribution.

Agriculture: Adam Smith assigned agriculture a prominent place, owing to the physiocratic views that influenced him. Smith thought that investing in agriculture was the most fruitful use of wealth since in agriculture, "nature labors along with men."

Circulation of Money: According to Smith, money developed spontaneously to remove the difficulties in the barter system of exchange. He stressed the two important functions of money viz., medium of exchange and measure of value. He regarded money as the nominal price of commodities.

He disagreed with the mercantilists' bullionist policies that were intended to keep more money at home. He made it quite obvious how much money would be left over and would be exported to other nations. He proposed that the degree of internal economic activity should be used to assess how much money is in circulation.

Smith's Theories of History and Sociology

Adam Smith, a prominent economist and philosopher, is often associated with the concept of the "Invisible Hand" and his ideas on economics as well as class conflict in society. He is best known for his book "The Wealth of Nations," published in 1776, where he discussed the idea that individuals pursuing their self-interest can unintentionally benefit society as a whole. In other words, when people seek to maximize their profit or gain, they often end up benefiting society as a whole by stimulating economic growth and efficiency. The invisible hand was not the intentional design of any individual but was simply created by the systematic working out of natural laws. This concept is a fundamental idea in classical economics and remains influential in economic theory today.

Societies often have distinct social classes based on factors like wealth, income, occupation, and social status. These classes can include the bourgeoisie (capitalist class), the proletariat (working class), and sometimes the middle class. Class conflict arises from the differing interests and objectives of these social classes such as individuals acting selfishly and harshly on their behalf or on behalf of the class to which they belong.

Smith's theory of history begins with the proposition that how humans produce and distribute the material needs necessary for life is the most important determinant of the social institutions of any society as well as personal and class relationships among its members. Smith accepted that there were four particular stages of financial and social improvement: hunting, pasturage, agriculture, and commerce. At each stage, the process of production and supply of economic goods in society plays a key role in understanding social institutions and government.

Hunting: Smith described the hunting stage as the lowest and harshest form of society, and this stage was seen among the early inhabitants of North America. In economic and anthropological terms, the "hunting stage" refers to a prehistoric or early stage of human economic development when societies primarily relied on hunting and gathering for their subsistence. During this stage, people lived as nomadic hunter-gatherers, relying on the natural environment for food, clothing, and shelter.

Key characteristics of the hunting stage in the economy include:

- 1) **Hunting and Gathering:** People obtained their food by hunting animals, fishing, and gathering wild plants, fruits, and nuts. They did not engage in agriculture or animal husbandry.
- 2) **Nomadic Lifestyle:** Hunter-gatherer societies were often nomadic, moving from one area to another in search of food and resources. They typically didn't build permanent settlements.

Pasturage: The next step was pasturage which gave rise to more advanced societies and was found among the Tartars and the Arabs. At this stage, the economy supported social lives bounded in groups. Production depended on domesticated animals, and their maintenance required a nomadic lifestyle. In such societies, we first see how wealth was consolidated through herding. **Cattle ownership was the first form of wealth acquisition.** And its institutional security becomes imperative. Smith then went on to search for conditions or causes that "give men . . . superiority over the greater part of their brethren." He analyzed several special conditions that led to the institutionalized, enforced subjugation of some people in different social settings, but he considered one important situation common to all: **"Civil government, so far as it is established for the security of property, is the rich against the poor. Set up to protect or against those who have no property.**

Agriculture: The third social stage was agriculture, which was more common in the feudal economy of medieval Western Europe. At this stage, the society began to settle permanently in a particular area and agriculture was the most important economic component at that time. Land ownership became a very important determinant of class division based on privilege and power. During this period the coarse part of all land was concentrated in the hands of a few proprietors. Ownership of large estates was at the center of social and political power. Therefore, society was divided between the rulers and the exploited. The ruling class was assumed to be aristocratic by birth. The preservation of tradition through generations prevented many rulers from dividing their property and maintained their prestige in society. According to Smith, **two characteristics of agricultural society were very important.** One is that

- **Very few of the wealthy could make proper use of their wealth.**

The second is that

- This kind of economic means was conducive to the absolute domination of the wealthy while the majority of the people had insufficient rights and freedoms. According to Smith, two of the most important improvements in society's transition to a commercial form were the expansion of rights and the increase in freedom of most producers.

Commerce: In Smith's view, the rise of European cities led to the establishment of commercial societies in social development. These cities were seen as dependent on foreign trade and, to a large extent, economically independent of the medieval agrarian economy. Medieval lords allowed independent towns because they received rents and other benefits from the towns. A new political environment was created within the cities where they enjoyed more freedom than before. This greater freedom and security has given rise to people's desire to accumulate material wealth. Smith believed that nature created an illusion in humans that their happiness came primarily from material possessions. However, he was impressed by the economic and social impact of the desire for personal gain. Smith stated that the growth of cities transformed rural agriculture. where feudal lords could barter their agricultural surplus produce.

It was Smith's belief that This was because medieval agriculture had become so inefficient. The owners' desire to buy more goods led them to increase efficiency by firing redundant tenants. Increasing freedom and security for the majority of producers also led to the characteristic that Smith considered most important about capitalism, as landowners strived to increase economic efficiency. Smith argued that "a man who can acquire no property can have no other interest than to eat as much as he can, to work as little."

In capitalist societies, Smith sees property ownership as the basis of class division. Property ownership determines one's source of personal income and this source of income serves as a determinant of social class. However, in a market society, there are no separate classes of owners of land and capital. It is a society where workers can control their means of production. Smith did not doubt that labor alone could add value or wealth. The annual output of land and labor may depend on an increase in the number of productive laborers or on an increase in the productivity of those already employed. But when a small class comes to own the means of production, they gain power through property rights and encourage workers not to work without a share of

production. The determination of labor's common wage usually depended on the agreement of two parties whose interests were by no means identical. The worker wanted to get the maximum and the master wanted to be paid as little as possible. But this struggle was not equal, according to Smith, the capitalists were always ahead because their power and dominance were more. Smith mentioned three reasons –

1. Their greater wealth
2. Ability to distort or control public opinion
3. Innumerable advantages of getting the government to their side.

Through this, Smith highlights the importance of class conflict between capitalists and workers. He cites ownership of land and capital as the main basis of class conflict.

Class Conflict and Social Harmony

Smith knew that selfish and acquisitive motives for acquiring things caused disagreements and conflicts between individuals and groups of people. However, in the social setting of competitive capitalism, these conflicts seemed only surface-level and not truly genuine. The invisible hand naturally solves small disagreements in a way that makes people happy. Supporters of the labor theory of value believe that class conflict is very important for understanding capitalism. On the other hand, the utility theory of value believes that social harmony is fundamental and will ultimately lead to a version of Smith's invisible hand argument.

Smith's analysis comes from his perspective that the value of something is determined by the amount of work put into it. So, he believed that labor created value and that workers had to share what they made with two classes of people who didn't create anything but owned property. These property owners had the right to profit from the work of others. He also said that the government protecting property rights was just protecting the rich from the poor

Smith accepted that wages were decided by a financial, social, and political battle between workers and capitalists, in which the capitalists continuously had the upper hand. He was aware that businessmen use all kinds of means to avoid competition and ensure monopoly, as is evidenced by the two following quotations:

1. Individuals of the same trade rarely meet together, even for happiness and preoccupation, but the discussion closes in a trick against the people, or in a few contraptions to raise prices.
2. Dealers in any specific industry always have interests that differ from and sometimes conflict with the interests of the general public. They typically want to reduce competition, which benefits them. However, reducing competition ultimately harms the public, allowing dealers to increase their profits unfairly, and effectively imposing a burdensome tax on everyone else for their gain.

Analyzing the effects of capitalism, the following two quotations are given:

Differences in natural talent between different people are much smaller than we can realize. The difference between the most dissimilar characters, between a philosopher and a street porter, for example, does not arise so much from nature as from habit, custom, and education. When one comes into the world and is six or eight years old, they are all the same. And neither their parents nor their close mates understood the significant difference. Soon they were engaged in different professions.

In the advancement of the division of labor, the employment of a large proportion of those who survive is confined to laborers, i.e. the common people. A man who spends his whole life doing a few simple things whose effects are always the same. And practicing his invention to find ways to remove difficulties that will never happen. He naturally loses the habit of such hard work and is generally foolish as if he did not know a man could do it. The pull of his mind renders him.

For such workers, the invisible hand and the "obvious and simple mechanism of natural freedom" seem far away. Moreover, when one considers that government exists to "protect the rich" by dominating poor workers with their poor wage rates, and capitalists using all means at their disposal. To protect government and monopolies, one wonders how Smith hopes to achieve this proposed "system of natural liberty" in which government had only three duties and in which the Invisible Hand directed all acquisitive actions into a mutually beneficial whole.

Criticism

Market failure due to the "invisible hand" refers to situations where the self-interested actions of individuals in a free market do not lead to an efficient or desirable outcome for society as a whole. The "invisible hand" is a concept coined by economist Adam Smith, suggesting that individuals pursuing their self-interest can unintentionally contribute to the greater good of society. However, there are instances where this doesn't hold:

1. **Externalities:** When the actions of individuals or firms impose costs or benefits on others that are not reflected in market prices, it leads to externalities. For example, pollution is a negative externality, as the polluter doesn't consider the cost it imposes on others.
2. **Public Goods:** Some goods, like clean air or national defense, are considered public goods. The market often fails to provide these efficiently because individuals can benefit from them without paying, leading to under-provision.
3. **Monopoly Power:** When a single firm gains significant market power, it can set prices higher than in a competitive market, reducing consumer welfare.
4. **Information Asymmetry:** If one party in a transaction has more information than the other, it can lead to market failure. For instance, in the case of used cars, sellers may have more information about the car's condition, leading to the "lemons" problem.
5. **Inequality:** Markets can sometimes exacerbate income inequality, as those with more resources can further increase their wealth, leaving others at a disadvantage.

To address these market failures, government intervention through regulation, taxation, subsidies, or public provision of goods and services may be necessary to ensure a more efficient and equitable outcome.

Smith's Theory of Value

In his treatise, *The Wealth of Nations*, published during the emergence of global markets and international trade, one of Adam Smith's key insights was that the wealth of a nation was not an accumulation of wealth in money but an accumulation of wealth in commodities. He begins his analysis of the commodity by pointing out its dual characteristics. It contains both qualitative and

quantitative values, and Adam Smith has discussed the difference between **value in use** and **value in exchange**. The qualitative element is the use-value of a commodity. That is to say that every commodity has a value that is derived from its usefulness. We purchase and consume commodities because they are useful in satisfying our needs, whatever those may be. The usefulness of a commodity derives from its physical properties and the realization of that usefulness is in our consumption of it. The exchange value refers to the power of purchasing other goods. But Smith was not entirely clear about how the exchange value emerged from this process even though he concentrated on measuring this value in his theories.

Smith gave two theories for the determination of value.

The Labor Theory of Value

Adam Smith's labor theory of value is inconsistent and somewhat confusing, but based on his ideas, Karl Marx and David Ricardo presented successful and sophisticated versions of this theory. He not only understood the commodities to be the source of national wealth but also recognized that the production of commodities and thus the production of wealth occurred through the labor process. Smith believed that labor was the real source of value. Smith emphasized, "Labor was the first price, the original purchase-money that was paid for all things. It was not by gold or by silver, but by labor, that all the wealth of the world was originally purchased." This theory's foundation is the realization that the manufacturing process may be reduced to a sequence of human labor. Thus, **the value of a thing depended upon the amount of labor spent for its production**. Smith asserted that any good or service must be the result of human work for it to have value. **According to him the real price of everything was, "the toil and trouble of acquiring it."** This was the essence of his labor theory of value.

However, the labor theory of value goes beyond this. Humans typically cannot survive without making efforts to change the natural environment into a more habitable form, unlike certain animals that live in a natural setting that is easily adaptable to their survival needs. Creating new tools has, in most cases, led to this enhanced productivity. Some observers, especially those who adhere to certain schools of modern economic thought, believe that the tools themselves are partially accountable for the production that results from their use. As a result, it is claimed that

both capital i.e., tools or other production methods, and labor are productive and equally contribute to the production process. However, Smith and other labor theorists acknowledged the obvious truth that tools are the outcomes of labor and that, in actuality, the contribution to production is only the effort made by the creators of the tools. So the labor theory of value asserts that the exchange value of a commodity is dictated by the amount of labor it contains, the relative allocation of indirect labor (that labor which produced the means of production used in producing the commodity) at different points in time and direct labor (that labor which uses the means of production to produce the commodity) used in production. But Smith did not include past labor that is the labor used to produce the tools in his labor theory of value. Only in early pre-capitalist economies, in which no landlords nor capitalists existed, was he able to see labor as the primary driver of exchange value. He described that time as the “early and rude state of society” referring to the primitive age when laborers were the only owner of their produces. So the value of a commodity is the labor employed in producing or acquiring that commodity. He explained this with the example, “If among a nation of hunters, for example, it usually costs twice the labor to kill a beaver which it does to kill a deer, one beaver should naturally exchange for or be worth two deer. It is natural that what is usually the produce of two days or two hours labor should be worth double of what is usually the produce of one day's or one hour's labor.”

In another theory of value, Smith gave quite a contradictory view on how to determine the value of a product, which takes us to his next theory of value.

The Cost of Production Theory of Value or The Adding-up Theory of Price

Adam Smith says that in early primitive society when capital accumulation had not started and land was not appropriated, labor was alone the sole determinant and measure of value. But when he turned to real-world where capitalists gained control of the means of production, landlords monopolized the land and natural resources, and more than one factor of production existed, Smith believed that exchange value or price came to be a sum of three components: wages, profits, and rents. "As soon as stock has accumulated in the hands of particular persons," he wrote, “the laborer must in most cases share the produce of his labor with the owner of the stock who employs him.” So, when the production of a commodity is not only controlled by the exertion of labor power but also by other factors of production such as stocks of capital, the capitalists have some claim over

the products. The same goes for landlords who are the owners of lands and other natural resources. When lands become private property and are used in the process of production, the laborer must give up a portion of what his labor produces to the landowner in the form of rent. Thus, the exchange value of a commodity is determined by the return to the laborer, capitalist, and landlord in the form of wage, profit, and rent. As one's value regulates its price, both are interlinked. Smith's theory of prices has been dubbed "an 'Adding-up Theory' a summation (merely) of three primary components" since profits and rents must be added to wages to establish prices.

This theory was different from the labor theory that Smith thought applied to the "early and rude state of society" because the profit component of a price was not related to the labor that was contained in the good. He stated, "The profits of stock, it may perhaps be thought, are only a different name for the wages of a particular sort of labor, the labor of inspection and direction. They are, however, altogether different, ... They are regulated altogether by the value of the stock employed, and are greater or smaller in proportion to the extent of this stock." This idea had the logical consequence that prices could remain proportional to the amounts of labor embodied in commodities only if the value of capital per worker was constant in different lines of production. But if the value of capital per worker differed among the various sectors of the economy, then the addition of profits to wages would yield a sum that would not be proportional to the labor embodied in the production of the commodities. Smith accepted the claim that the value of capital per worker varied across industries as an obvious empirical truth. He was unable to envision a scenario in which the labor embodied in production determined exchange value in these circumstances.

Smith distinguished between market price and natural price. The market price was the actual price prevailing in the market regulated by the forces of supply and demand. In every society, there is an average rate of interest, wages, profits, and rents which Adam Smith called the natural rates, corresponding to this is the natural prices. The natural price is an equilibrium price determined by the cost of production around which the market price fluctuates. The competitive mechanism of the market ensures the tendency toward the equilibrium or natural price in the long run.

Weaknesses of The Theory of Value

Adam Smith did not construct a satisfactory theory of value as he could not choose between his two theories.

- The source and measure of value, labor itself is difficult to measure. There is confusion regarding how to measure labor, should it be counted as manpower or as working hours? Even though Adam Smith used time as the measuring rod, those who spent more hours working were contributing more, it is not a proper scale. Because there is a difference in skill and productivity among the laborers. The amount of good a skilled labor can produce within a given time is bound to be higher than that of an unskilled labor. Similarly, the time a productive or skilled labor requires is much less than that of an unskilled one.
- Misdirected labor, the labor that is being used in the wrong way or the wrong sector, cannot have value. Even Karl Marx admits that “nothing can have value, without being an object of utility”. He said, “Misdirected labor does not count as labor”.
- There were a few major weaknesses in Smith's theory of prices. First, the three components of prices- wages, profits, and rents- were themselves either prices or derived from prices. A theory that explains prices based on other prices cannot explain prices in general. If to understand one price we have to know what other prices are, the question immediately arises as to how those other prices are explained. And if they also must be explained in terms of still other prices, we become involved in an endless chain in which the ultimate determinants of prices can never be explained. So, there is a continuous counting of prices. This brings us to **Smith's idea of distribution**, which is even considered the “least original” of all his ideas.

Rent: Smith's ideas on rent were not well formed. In some places, he is surprisingly close to the modern viewpoint on rent, at others he is hopelessly embedded in Physiocratic notions. Adam Smith, under the Physiocratic influence, considered rent as a gift due to the special natural powers of the soil. The rent of land was a special surplus available to the owner of land over and above the cost of production. The relationship between rent and prices is not clear to Smith. His point of view shifts according to the convenience of the argument.

Wages: Smith's theory of wages is also ill-defined. Generally, he talks of demand and supply of labor as the factors determining wages. The supply of labor is limited by the cost of living of workers, depending on the current prices of commodities. The demand for labor is determined by the quantity of stock available, and the level of national capital.

Profit and interest: Adam Smith did not clearly distinguish between profit and interest. Profit was the return on the capital. Interest was a part of profit which was to be paid to the owner for the use of the capital borrowed. In brisk business conditions, competition kept the rate of profit low, because wages were increasing. In slack conditions, the opposite happened. Wages decreased and profits went up. Profit was calculated in terms of wages, not independently.

- Smith disregarded the use value as the determinant of price:

“The things which have the greatest value in use have frequently little or no value in exchange; and on the contrary those which have the greatest value in exchange have frequently little or no value in use. Nothing is more useful than water: but it will purchase scarce anything; scarce anything can be had in exchange for it. A diamond, on the contrary, has scarce any value in use; but a great quantity of other goods may frequently be had in exchange for it.”

This means that water has a larger use-value but in the market, diamond has a greater exchange value, so the exchange value should be used to fix prices. This paragraph is sometimes referred to as "the water-diamond paradox" by economists who adhere to the utility theory of value. Smith, on the other hand, did not perceive it as a paradox, but rather as a simple assertion that use value and trade value were not always correlated with one another. Later utility theorists would differentiate between the marginal utility of diamonds and the total utility of diamonds, to which Smith was addressing.

- The cost of production theory also did not explain the change in the relative prices of commodities. In the adding-up theory, if any of the cost components increased, then the value of the commodity rose higher. Wages representing highly in the cost of production tended to be near the subsistence level, according to classical beliefs. Additionally, a large part of the laborer's subsistence was foodstuffs or "corn," as grains were called at that time. It therefore followed that if the price of corn was high, the wages would be high as well and the price of all commodities would have to be high. From this line of reasoning, Smith concluded that an export subsidy on corn would increase the domestic price which in turn would not change the real value of silver or corn but increase the money prices of all domestic commodities. But some commodities would be corn-intensive. So, it should be that the money prices of corn-intensive commodities are higher relative to other commodities But in Smith's theory, he gave no argument regarding how the relative value of silver or other goods decreases as a consequence. To find an invariant measure of value Smith opined that the best measure of value was the amount of labor any commodity could command in exchange. But the wage rate representing the price at which labor can be purchased can vary, his measure of value is variable.

In Adam Smith's theory of value, there are perplexing ambiguities. He explicitly stated that in capitalist society, the amounts of labor embodied in production no longer represented the value of the commodities, but exercised the labor theory of value to explain prices.

Smith's Theory of Economic Welfare

Smith's economic theory was mainly normative or policy-oriented. His main concern was to determine the social and economic forces, what is most effective to increase human welfare and to recommend the best policies to promote human happiness.

Smith defined economic welfare in a very simple and straightforward way. He identified economic welfare it dependent on the amount of the annual "produce of labor" and "the number of those who are to consume it". Another important criterion of welfare was welfare could be increased as the

composition of productive output conformed more to the needs and desires of those who purchased and used the output.

Smith depicted 'Capitalism' as the most important social and economic component to increase economic welfare and motivated capitalism. He divided capitalism into two primary sectors of production: agriculture and manufacturing. Three different groups of inputs were needed for production - land (including natural resources), labor, and capital. And so, three principal social classes of capitalism- landlords, laborers, and capitalists are constructed, and they receive different forms of monetary return- rent, wages, and profits. These class divisions were based on the law of property ownership and the distribution of actual ownership among people. The incomes of them are parts of production costs and determined the prices of commodities. Like neoclassical economists, Smith assumed that selfish, acquisitive motives characterized all economic behavior, though he admitted that in noneconomic behavior people had altruistic motives. In Smith's context, capitalism represented the highest stage of civilization, and when the government adopted a laissez-faire policy, it would reach its greatest height.

Laissez Faire

Adam Smith's theory is mainly based on the principle of 'Laissez-Faire' which requires that the state should not impose any restriction on the freedom of an individual. The theory of economic development rests on the pillars of saving, division of labor, and the wide extent of the market. Saving or capital accumulation is the starting point of this theory. He believed that "there is a set of rules or rights of justice and perhaps even of morality in general which are, or may be known by all men by sense either of reason or of a moral sense, and which possesses an authority superior to that of such commands of human sovereigns and such customary legal and moral regulations as may contravene them".

The policy of laissez-faire allows the producers to produce as much they like, earn as much income as they can, and save as much they like. Adam Smith believed that it is safe to leave the economy

to be propelled, regulated, and controlled by an invisible hand i.e. the forces of competition motivated by self-interest be allowed to play their part in minimizing the volume of savings for development.

Based on his own analyses, Smith rejected the theories and policies of both the mercantilists and the Physiocrats and then stated that the 'Laissez-faire capitalism' system would maximize economic welfare. Smith calls it, " the obvious and simple system of natural liberty," and it is asserted to be the best possible economic system.

Division of Labor: According to Smith, in any society, the level of production depends on the number of productive laborers and the level of their productivity. Here, productivity depended on specialization, or the extent of the division of labor. A very important contribution made by Adam Smith to the analysis of the factors that bring about the expansion of output is the division of labor. The extent of the division of labor was governed by two circumstances. When a market economy existed, the degree of specialization would depend on the size of the market and the extent of division must always be limited by the extent of the market.

The fundamental division of labor was between rural agriculture and urban manufacturing. The natural order of economic development was agriculture, urban manufacturing, and foreign commerce. Smith countered the Physiocrats' idea that labor expended in manufacturing was sterile or unproductive. He argued that they were a source of profits and further accumulation moreover economic progress. Smith also separated labor as productive and unproductive. He identified productive labor as laborers when labor resulted in revenues and whose labor was embodied in a tangible, vendible commodity. Moreover, they involved themselves in capital accumulation. On the contrary, those whose services were desirable in society but did not result in the generation of profits, capital accumulation, and economic progress were identified as unproductive labor. He named them 'menial servants' who merely sold their services to either wealthy persons or the government.

Accumulation and productivity of Capital: As a means of economic development, Adam Smith gave an important place to saving and accumulation of capital. To quote his words, "Capitalists are increased by parsimony and diminished by prodigality and misconduct parsimony and not industry is the immediate cause of the increase of capital. Industry indeed provides the subject in

which parsimony accumulates. But whatever industry might acquire, if parsimony did not save and store up, the capital would never be greater.” Here a clear guideline and suggestion to the developing countries. Their greatest obstacle to economic development is the deficiency of capital. In this respect, they are caught up in a vicious circle of poverty.

The productivity of people is low because the capital stock is small; capital stock is small because the savings of the people are small and savings are low because the incomes of the people are small due to their low productivity. The way out of the vicious circle, according to Smith, is for the capitalist class that save most of their profits and invest in capital accumulation to accelerate economic growth. Thus, according to Adam Smith, the saving of society is increased by the ‘parsimony’ (i.e., the habit of frugality) of the capitalists. Adam Smith assumed that the capitalist class behaves in such a manner and saves a very large proportion of their profits.

Besides, capital accumulation, according to Smith, facilitates a greater degree of division of labor which causes productivity of labor to rise. Without capital accumulation, the extent of division of labor cannot be increased much. An increase in capital formation leads to the production of different types of specialized equipment which are operated by different classes of workers who are skilled and specialized in various tasks. Thus, capital accumulation along with division of labor leads to the increase in industrial output and employment.

Capital employed in agriculture was the most productive, manufacturing was the next, then came domestic trade and last was foreign trade. In a free market, the selfish actions of individuals are directed, as though by an invisible hand, in such a way as to maximize economic welfare.

Duties of Government

According to Smith, the government ought to be given only three duties:

First, the duty of protecting the society from violence and invasion of other independent societies.

Secondly, the duty of protecting, as far as possible, every member of the society from the injustice or oppression of every other member of it, or the duty of establishing an exact administration of justice.

Thirdly, the duty of erecting and maintaining certain public works and certain public institutions, which it can never be for the interest of any individual, or a small number of individuals.

Adam Smith's Concept of International Trade

Although Adam Smith is well-known for his knowledge of the forces that form economies, he is not regarded as a specialist in international trade theory. Smith's theory of international trade is frequently criticized for being mixed up with various other doctrines which do not lend themselves to a clear and consistent interpretation. One could argue that Smith's theory of foreign trade and domestic economic development are closely intertwined and must be examined together. This means that Smith's trade theory should not be viewed simply as a static analysis of the current trade pattern based on resource allocation and productivity. Instead, it should be seen as an effort to study the long-term relationship between foreign trade and domestic economic development, which involves increasing the total volume of resources and improving their productivity.

Adam Smith's IV Book of "The Wealth of Nations" presents a critique of mercantilist and Physiocratic doctrines. Smith advocates for free trade and opposes protectionism. He disagrees with the mercantilist notion of controlling and safeguarding trade and argues that accumulating gold and silver through trade is not beneficial. Smith believes that gold and silver are like any other commodity and their import or export does not impact a nation's prosperity. The only advantage of foreign trade, according to Smith, is the exchange of surplus goods with other countries and obtaining commodities in demand. Smith asserts that both foreign and domestic trade contributes to extending the division of labor, increasing specialization, and multiplying exchanges. To summarize Smith's analysis, he advises to "Look after the trade, and the gold will look after itself."

His arguments in favor of free trade are summarized below:

- Free trade results in a more equitable distribution of capital within the country. It is diverted from one channel to another by protection.
- Free trade promotes geographical division of labor. It broadens markets and boosts economic activity, which boosts national wealth.

- Because just a few industries are protected, protection is harmful to the growth of industry and trade.
- Free trade benefits consumers' interests. People may now obtain things manufactured in a faraway nation at competitive prices because of the advancement of trade. Although Adam Smith supported free trade, he did bring out certain restrictions. He saw national defense as more vital than riches.

In his analysis of foreign trade, Adam Smith put forth a theory that was based on the idea of absolute differences in costs. Essentially, he sought to explain why there were discrepancies in the costs of producing goods that were traded between different nations. His explanation took into account several different factors, including natural advantages like climate, soil, and location, as well as acquired advantages such as education and skill. While the "absolute advantage" theory may not be quite as precise as some other analytical approaches, Smith was able to use it to effectively articulate the benefits of unrestricted trade, particularly in terms of how it helps to optimize the allocation of resources.

It enables individuals to exchange their surplus produce and labor for other goods and services that are in demand. This system assigns value to their excess products by exchanging them for items that can fulfill their needs and increase their overall satisfaction. This broader marketplace allows for specialization in specific industries and encourages individuals to improve their productivity. Expanding the market for surplus goods motivates individuals to increase their output and maximize society's revenue and wealth.

Adam Smith's theory of absolute cost advantage in international trade evolved as a strong reaction to the restrictive and protectionist mercantilist views on international trade. He upheld in this theory the necessity of free trade as the only sound guarantee for the progressive expansion of trade and increased prosperity of nations. The free trade, according to Smith, promotes international division of labor.

Nations often focus on producing goods that they can create at the lowest expense. While some have suggested self-sufficiency and protectionism in the past, no country has been able to achieve complete independence. Rather, open, and unobstructed global trade enables nations to specialize

in producing and trading goods where they have an absolute advantage over other nations. As Adam Smith stated, whether a nation's advantage is inherent or acquired is irrelevant - as long as one nation has an advantage and the other does not, it is more advantageous for the latter to purchase from the former instead of producing it themselves. By specializing in goods based on absolute cost advantages, countries can reap the benefits of international trade, much like a tailor who doesn't make their own shoes and a shoemaker who doesn't sew their own suit, but both benefit from exchanging their goods.

Assume A and B are two nations that manufacture two commodities, X and Y. The cost of manufacturing these goods is quantified in terms of the labor involved. If each nation has two man-days available and one man-day is committed to the manufacture of each of the two goods, the relative output in the two countries may be demonstrated using two hypothetical countries.

Figure 1: Absolute Cost Difference in Two Countries

Country	Units of Labour (Man-days)	Commodities		Ratio of Exchange
		X	Y	
A	1	20	10	1 Unit of X = 0.5 Unit of Y
B	1	10	20	1 Unit of X = 2 Units of Y

Note: Adam Smith's Theory of Absolute Cost Advantage | Economics. (n.d.). EconomicsDiscussion.net

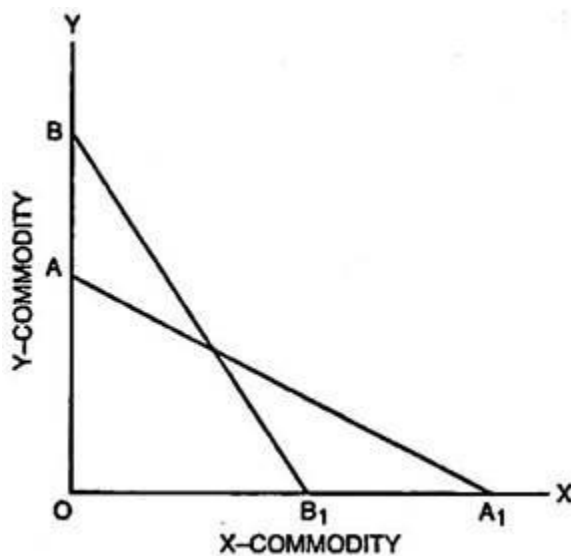
one labor in nation A can generate 20 units of X but only 10 units of Y. In contrast, in country B. A labor can yield 10 units of X but 20 units of Y. It denotes that nation A has a certain advantage in manufacturing commodity X, whereas country B has a definite advantage in producing commodity Y. Country A may be prepared to trade one unit of X for 0.5 unit of Y. At the same time, country B may be prepared to give up two units of Y in exchange for one unit of X. If nation A specializes in commodity X production and export while country B specializes in commodity Y production and export, commodity Y, both the countries stand to gain.

This comparison highlights the importance of considering the costs associated with the production of both A and B when assessing the comparative cost advantage between both countries:

$$\frac{20 \text{ units of X in A}}{10 \text{ units of X in B}} > 1 > \frac{10 \text{ units of Y in A}}{20 \text{ units of Y in B}}$$

AA1 in the below figure represents the production potential curve for nation A. Given the procedures and factor endowments, if all resources are used to make X, it can yield OA1 quantity of X. Country A, on the other hand, may generate OA quantity of Y if all resources are utilized in the production of Y. BB1 is the nation B's production possibility curve. In this country, if all resources are used to create X commodity, OB1 amount may be generated. Alternatively, if all resources are utilized in the manufacture of Y, OB quantity of Y may be produced. The slope of the production potential curve in each nation is calculated by dividing labor productivity in X by labor productivity in Y.

Figure 2: The production possibility curves of two countries



Note: Adam Smith's Theory of Absolute Cost Advantage | Economics. (n.d).
EconomicsDiscussion.net

AA1 slope = L_{XA}/L_{YA}

BB1 slope = L_{XB}/L_{YB}

Because the slope of AA1 is less than the slope of BB1, it indicates that nation A has an absolute cost advantage in producing X commodities, whereas country B has an absolute cost advantage in producing Y commodities.

Adam Smith also emphasized that specialization based on absolute cost advantage will lead to global production maximization. The following table shows the profits from trade for the two trading countries.

Figure 3: Gains from trade

Country	Before Trade		After Trade		Gain from Trade	
	X	Y	X	Y	X	Y
A	20	10	40	–	+20	–10
B	10	20	–	40	–10	+20
World Production	30	30	40	40	+10	+10

Note: Adam Smith's Theory of Absolute Cost Advantage | Economics. (n.d.). EconomicsDiscussion.net

Country A produces 20 units of X and 10 units of Y prior to trade. After trade, because A specializes in the manufacture of X commodity, it produces a total of 40 units of X and no unit of Y. Before trade, Country B produces 10 units of X and 20 units of Y. Following trade, it specializes on Y and produces 40 units of Y while producing no units of X. The benefit is the production of 10 units of X and Y commodities. Country A's gain from trade is +20 units of X and -10 units of Y, for a net gain of +10 units of X. Similarly, country B's net gain is +10 units of Y.

Smith's analysis of trade brought forth an intriguing concept that has been dubbed the 'Vent for Surplus' doctrine. This theory proposes that whenever a nation produces more than it can sell domestically, it can turn to foreign markets as a means of disposing of the excess. The desire for trade, as per this theory, has inspired the likes of Mercantilists and other theorists to place immense importance on international commerce. The 'Vent for Surplus' doctrine underscores the fact that international specialization is an indispensable component of a country's developmental process and cannot be reversed. Furthermore, it suggests that foreign trade is necessary to fully utilize idle productive capacity that would otherwise remain untapped. This is a significant departure from the comparative cost approach, which assumes that resources are already fully utilized before trade. Instead, trade allows for a more efficient allocation of resources, thus further emphasizing its importance in promoting economic growth and development.

Criticism

Adam Smith, no doubt, provided a quite lucid explanation of the principle of absolute cost advantage as the basis of international transactions, yet his theory has certain weaknesses.

- The biggest criticism leveled against him is that he failed to uncover the notion of comparative costs, reciprocal demand, or other of the concepts and tools that were to be established by the later, classical writers on international trade which compromised his whole approach to the issue.
- This theory presupposes that every exporting country possesses an absolute cost advantage in producing a particular commodity. However, this assumption may not hold true when a country has no specific area of production in which it has a clear superiority. Ellsworth argues that "Smith's argument is unconvincing because it assumes without evidence that international trade requires an exporting nation to possess an absolute advantage, meaning that it must be able to produce a greater output than any competitor with a given amount of capital and labor. But what if a country has no area of production in which it is clearly superior?" Many underdeveloped nations with inefficient labor and machinery may not have an absolute advantage in any line of activity. Therefore, the principle of absolute cost advantage is inadequate in providing a complete and satisfactory explanation of the basis for trade between different countries.

- Additionally, Adam Smith only identified the fundamental basis on which international trade is founded. The absolute cost advantage fails to comprehensively explore the factors that influence trade between two or more nations.
- Adam Smith's 'Vent for Surplus' doctrine is not entirely satisfactory. This concept can have negative impacts on the development of underdeveloped nations. These countries are compelled to export their surplus produce, even in the face of domestic shortages, to offset their balance of payments deficit.

Adam Smith's Concept of Equilibrium

To begin with, it is important to emphasize the fact that what Smith was referring to as a tendency towards equilibrium, and what he called an equilibrium outcome, are not the same thing. Of course, Smith was not the first writer who employed the concept, but his contribution in influencing its application in economics was significant. Smith's approach to economic equilibrium was very hypothetical and contingent. He did not attempt to express the notion precisely and well-defined, nor did he dedicate much attention to it in his works. Perhaps he was responding to what he called "frivolous accuracy" in abstract notions. It is seen that the concept of balance is central to Smith's moral philosophy, but his main goal is to describe the actual mental and social process that leads the person in the direction of this equilibrium. Equilibrium is not a central focus in Smith's writings and is instead presented as a part of a larger framework, receiving no notable emphasis. In some instances, it may even receive less attention than other components. Smith's concept of market equilibrium at first glance would seem to lend itself to a very clear and exact form of expression. Changes in prices and quantities as a market adjusts toward equilibrium can be quantified, and such changes are functionally related.

When analyzing any market, an economic theorist faces two distinct worlds that often conflict with each other. These worlds must be brought into mutual adjustments to facilitate trade. One world is that of supply, which claims that a product's value is a function of the resources expended in producing it. From this perspective, the market price must cover the sum of rent, wages, and profit required to make the product. This is called the "natural price." However, this cost-of-production basis of value requires further analysis. The theorist appears to want to choose labor as a common denominator underlying these supply elements in value. Despite admitting that a quantity of labor

is an abstract notion, Smith leans in its direction. He seems to be searching for an absolute and universal unit of measurement or supply value, but he is not entirely successful in his search.

In the world of product demand, there are different factors that determine its value. Smith acknowledges that a product's utility or usefulness can affect its value, but he doesn't delve into this concept much further. Instead, he distinguishes between two types of demand: "absolute demand," which refers to the total desire for the product, and "effectual demand," which is the demand supported by a willingness to pay a price that covers the costs of bringing the product to market. Essentially, "effectual demand" is the demand from buyers who are willing to pay a price that covers the product's natural cost.

Smith's conception of equilibrium was dynamic, with the center of gravity tending to shift over time due to his focus on long-term change. In his discussion of long-run equilibrium in markets, Smith grapples with the challenge of reconciling two opposing viewpoints. He posits that if the amount of a product supplied initially falls short of demand, competition will drive up the price until more supply is induced, causing prices to eventually fall. Conversely, if there is an excess supply of a product, competition among sellers will force prices below their "natural price," resulting in a decrease in output and an eventual increase in price. Smith argues that the market is constantly striving for an ideal state of economic equilibrium through a process of gravitating towards a central price or "natural price" or the rate of profit in different occupations tends towards equality. Therefore, in the short run the natural and the market price may diverge but in the long run, they tend to converge. The divergence happens because, in the short run, the firms may not be able to adjust their production levels quickly to the changing market conditions, so they may not adjust their prices accordingly. However, in the long run, as the firms can adjust their production levels more quickly, their prices and the natural price will converge. In addition, a monopoly usually keeps market prices higher than the natural price, whereas free competition keeps prices closer to the natural price. Monopolies charge consumers the highest possible price, while free competition sets the lowest price that producers are willing to accept to maintain production.

Adam Smith's Concept of Public Economics

The reason why Smith believed in government intervention can be explained in two ways. Firstly, he believed in practical reasons, citing examples of government superiority over the market in areas such as roads, canals, post offices, the public mint, and education. Secondly, he believed in theoretical reasons that link him to modern public goods analysis. Smith's suggestion for public works was to extend private provision through public companies that enjoy new privileges of joint stock and limited liability. However, modern public good reasoning can only be applied reasonably in the cases of Justice and Defence, which were always kept separate in Smith's work.

Smith categorized the roles of the state into 'protective' and 'productive.' The 'protective' state was responsible for upholding justice and defense, which were the first and second duties of the sovereign. The 'productive' state was in charge of implementing public works and ensuring accountability for them. Smith emphasized the need to keep these two departments of state separate, as the 'productive' state had a tendency to overstep its boundaries in pursuit of greater power and revenue.

The final responsibility of the sovereign or commonwealth is to establish and uphold public institutions and infrastructure that are beneficial to a large society but too costly for any individual or small group to undertake. It cannot be expected for any individual or small group to construct or maintain such public works. Smith goes on to list examples of 'public works' that contribute to every country's trade, such as roads that are safe, bridges, and accessible canals. It is not essential for the funding of public works to come from public revenue, which is typically managed by the executive power in most countries. Many public works projects can generate enough revenue to cover their costs and not become a burden on society's general revenue. This means that there is a possibility of limiting the need for funding, and any future revenue generated from users is expected to cover all costs. Smith suggested financing public works like roads, bridges, and canals through tolls or user taxes. This eliminates the issue of public goods as each user pays for their private benefits. Smith compared joint-stock companies to private partnerships and emphasized the limited liability principle. Partnerships have personal responsibility for debts, while joint-stock companies limit liability to the extent of shares. Large trading companies had more resources than governments. Smith believed that joint-stock companies with exclusive privileges were not ideal

but acknowledged that certain enterprises required larger capital than private partnerships could provide. Insurance, banking, canals, and water supplies were considered public works that required special attention from the sovereign. These enterprises facilitated commerce and were of greater utility than common trades. Smith concluded that joint-stock organization was appropriate for these four public works. Smith advocated for funding public infrastructure using user fees, while also promoting joint stock and limited liability to encourage broader investment prospects. The level of intervention required was dependent on the intricacy of contracts, and the presence of law enforcement was vital for the survival of private enterprise and market functionality.

In the fifth book of *Wealth of Nations*, Adam Smith discusses the Government's revenue, and his ideas on taxation are highly regarded. Smith believed that public finance was necessary to fulfill the State's obligations. The Government's revenue comes from two sources: the state's funds, land, and capital, as well as taxes. Smith provided the following canons of taxation to assist revenue authorities, which later economists adopted in their theories without alteration.

The Canon of Ability - states that everyone in a state should contribute to the government in proportion to their abilities, also known as the Ability to Pay or Equality Principle. This means that progressive taxation is based on this principle.

The Canon of Certainty - emphasizes that taxes should be clear and not arbitrary, with the time, manner, and amount of payment being easy for the taxpayer to understand.

The Canon of Convenience- adds that taxes should be collected in a way that is most convenient for the taxpayer to pay.

The Canon of Economy -suggests that taxes should be collected with minimum cost to the government.

Thoughts on Adam Smith

Adam Smith is widely considered to be the Father of Political Economy, with his book *The Wealth of Nations* serving as a cornerstone of economic science. While Smith did borrow ideas from the mercantilists and physiocrats, he arranged and blended them in a harmonious manner, surpassing

even Quesnay and Aristotle in the extent and accuracy of his knowledge. His name is considered incomparable in the history of economic thought, according to Alexander Gray. Smith's contributions to economics were numerous.

- Firstly, he defined economics and explained the subject's scope, becoming the first economist to do so.
- He also developed the price system, which is now central to modern economic theory. Smith made a lasting contribution to economic thought through his ideas of division of labor, free trade, and laissez-faire.
- He shifted the emphasis from producer to consumer and viewed society's economic side as working spontaneously under the influence of competition and self-interest.
- Furthermore, his canons of taxation were later incorporated into the theories of subsequent economists without alteration.

Despite the praise heaped upon *The Wealth of Nations*, it was not without its critics.

- Smith's materialistic thinking was a demerit, showing an absence of idealism.
- He did not keep the moral end in view while dealing with economic theories, developing excessive individualism and restricting the activities of the state.
- Smith's view of wealth was too narrow, and his theory of value was ambiguous, confused, and inconsistent, being a two-sided theory.
- His theory of distribution was incomplete and pessimistic.

The Wealth of Nations still possesses a literary charm and serves as a starting point for all economists. Despite its shortcomings, it is considered a groundwork for modern economics. As Alexander Gray once said, "It is a tribute to the greatness of Smith that all schools of thought may trace their origins or inspiration to him." However, it should be noted that Smith's treatment of distribution is inferior to his treatment of production.

Relevance of Adam Smith's Theories in the Present World

The father of modern economics Adam Smith delivered his thoughts and theories long ago in the eighteenth century. However, the relevance and the replication of his ideologies are prominent in the political economy as well as applied economic concerns. But there is a factor to be described when the word relevant is used. The relevance of Smith's theory does not necessarily imply that in the modern days, they are applicable exactly in their ancient forms. Rather it means that his theory and ideology have somewhat helped world economics to move forward. Even to date, his influence is deeply rooted in the economic phenomena that depict his legendary work. However, the list of relevance is quite long, and only a few are illustrated below:

The Justifications for Smith's Support for Free Trade

Trade liberalization is a policy that promotes free trade, open markets, and reduced government intervention in international trade. It is often associated with the ideas of Adam Smith, who advocated for the benefits of unrestricted competition and the invisible hand of the market in his book "The Wealth of Nations." Smith's claim that countries should focus on producing what they are most proficient at is still valid today. Countries gain in a globalized economy by concentrating on sectors in which they have a comparative advantage, which boosts production and efficiency worldwide. Free trade continues to offer consumers a larger selection of items at affordable costs. It improves consumer welfare and choice by making affordable goods from all over the world available.

Smith's idea of generating riches through trade still holds today. By engaging in international trade, nations can increase their economic success by both exporting their goods and importing goods that they are unable to manufacture as effectively. In line with Smith's contention that trade can advance peace, interconnected global supply networks and economic interdependence contribute to global stability and fewer conflicts. By promoting entrepreneurship and innovation, free trade promotes economic growth. Businesses are encouraged to invest in R&D, which promotes technical improvement and industry growth. Smith's belief in minimal government involvement in trade is still relevant today, given the focus on lowering trade barriers and avoiding protectionist measures to advance economic efficiency.

Theory of Moral Sentiments in the 21st Century

The 1759 publication of Adam Smith's "Theory of Moral Sentiments," which examines the moral and ethical underpinnings of human behavior, is regarded as one of the key works in the discipline of moral philosophy. Even though a lot has changed since Smith's Day, many elements of his idea still hold today.

Smith's thesis focuses on how our moral judgments are shaped by sympathy and empathy as well as the fundamental human propensity to seek praise from others. Understanding these core characteristics of human nature is still important in a world where interpersonal relationships and interactions are important. Although Adam Smith is better recognized for his work on economics and the invisible hand in "The Wealth of Nations," "Theory of Moral Sentiments" offers an ethical framework for his economic theories. It focuses on the value of personal integrity, honesty, and trust in the operation of markets, which is still very relevant in today's corporate and economic environments.

According to Smith's view, people make moral choices by taking into account the opinions and judgments of others. This idea is crucial in today's discussions about corporate social responsibility, business ethics, and moral judgment in numerous professions. It is essential to be able to comprehend and sympathize with people from various backgrounds and cultures in today's multicultural and linked world. Smith's emphasis on compassion and empathy as moral virtues encourages social inclusion and cohesion, which are important in tackling the social and international issues of the modern era. There is ongoing discussion on Smith's theories regarding the function of the state and how it interacts with the market. Discussions about public policy, regulation, and the harmony between individual liberty and group welfare continue to be influenced by his focus on the role of the government in guaranteeing justice, security, and the well-being of citizens.

Smith's theory examines how self-interest and altruism interact. This is pertinent in today's society when talking about charity, corporate social responsibility, and striking a balance between pursuing one's interests and serving the greater good. Smith's observations on the impact of public opinion and the need for approval are extremely pertinent in the era of social media and fast

communication. Social media platforms frequently magnify how public opinion influences both individual and group behavior. In today's globalized world, Smith's theories about the interdependence of nations and the advantages of commerce still hold. The concepts of comparative advantage and global cooperation still serve as the foundation for commercial and diplomatic negotiations. His theory of moral sentiments provides timeless insights about morality, human nature, and the operation of markets and society. Even though much has changed since his time, many of the fundamental ideas he investigated are still useful for comprehending and taking advantage of the opportunities and difficulties of the present.

Theory of Money and Banking in the 21st Century

Despite considerable advancements and improvements in the field of economics and finance since Adam Smith's time, his ideas on money and banking, as stated in his landmark work "The Wealth of Nations," still hold in the modern world.

The essential function of money as a medium of trade is still a cornerstone of contemporary economics, as Smith highlighted. Different types of money, such as physical money, digital money, and financial instruments, are still used to enable commerce and economic transactions in the modern world. Smith stressed the significance of a reliable and stable currency. According to Smith's theories, central banks are essential to today's globalized financial system in preserving price stability and controlling inflation. Smith talked about the function of banks and financial intermediaries in directing savings toward profitable investments. Even though it has changed due to advancements in financial instruments and technology, the modern banking sector still serves this purpose.

Smith favored a laissez-faire strategy for banking and finance, placing a strong emphasis on minimizing government involvement. Discussions concerning the proper degree of regulation and governmental monitoring of the financial markets still refer to this theory. Smith talked about interest rates as the cost of borrowing and lending money. Modern finance theory is based on his insights into the factors that affect interest rates, such as the supply and demand for capital. Even though Smith did not live to experience the types of financial crises we have today, his concepts of self-interest and market behavior have helped us better understand the causes and effects of

financial crises. His focus on the value of sensible risk management and the part that people and institutions can play in identifying and reducing risks is pertinent to conversations about financial stability. Globalization, trade policy, and currency exchange rate discussions today continue to draw on Smith's theories on international commerce and finance, including the balance of payments, exchange rates, and the advantages of free trade. Despite being very archaic in comparison to contemporary central banking techniques, Smith's opinions on monetary policy nonetheless stress the significance of upholding a reliable and stable currency. To do this, modern central banks employ a range of techniques and methods.

The complexity and diversity of financial instruments and advances in the present world were unforeseeable to Smith. Nevertheless, as financial systems develop, his focus on openness, credibility, and the importance of self-interest in financial markets is still vital. Adam Smith's theories on money and banking provided the foundation for many ideas that are still applicable in the field of finance and economics today. The fundamental ideas of monetary stability, the necessity of self-interest, and the relevance of financial intermediation still serve as the foundation for much of contemporary economic thought and policy, even though the mechanics of the financial system have changed and gotten more complex.

The Idea of GDP in the 21st Century

Adam Smith, a Scottish economist and philosopher who lived in the 18th century, is frequently cited as one of the fathers of modern economics. Although he did not create the Gross Domestic Product (GDP) notion as we know it today, his theories established the foundation for the growth of economic measurement and the comprehension of national revenue. Smith emphasized the significance of productive activities, the division of labor, and the accumulation of wealth as key forces behind economic advancement in his seminal book "The Wealth of Nations" (1776). Although he avoided using the term GDP, he highlighted the importance of gauging a country's wealth to determine its economic health. Adam Smith's theories can be related to the idea of GDP in the modern world in several ways.

Smith emphasized the significance of generating both production and money. In essence, GDP is a measurement of the overall economic output or income of a nation during a given period. The

value of all goods and services generated within a country's borders is reflected in this statistic. Modern economic production is based on Adam Smith's idea of the division of labor, in which people specialize in particular jobs. Higher productivity and specialization raise an economy's overall efficiency, which raises GDP.

GDP statistics are consistent with Smith's theories regarding the creation of wealth as a sign of a country's prosperity. Greater prosperity and economic well-being for a country's population are frequently correlated with increased GDP. Smith favored a market-based economy with little government intervention. Market-oriented regimes that promote competition and entrepreneurship are common in contemporary economies with reliable GDP statistics. Smith stressed the value of foreign trade in boosting a country's wealth. The inclusion of domestic output and exports in GDP calculations today reflects the interdependence of global trade.

It's crucial to remember that since Smith's time, the idea of GDP has undergone tremendous change. Modern GDP calculations use intricate techniques and take into account a wide range of factors, including consumption, investment, government spending, and net exports. Additionally, GDP is utilized as a basis for policy decisions as well as an indicator of economic health and a measure of economic output. Adam Smith indirectly inspired the idea of GDP, but his theories on production, wealth creation, and the function of markets laid the intellectual groundwork for its creation and widespread application as a key indicator of economic activity and well-being in the modern world.

Market Equilibrium in the 21st Century

In Smith's influential book "The Wealth of Nations," which was released in 1776, he described his idea of market equilibrium. This theory is still applicable in today's society. The invisible hand hypothesis, which contends that people following their interests in a competitive market would accidentally advance societal well-being, is the basis of Smith's theory. Smith's theory of market equilibrium can be summed up in the modern era as well.

As a motivating factor in the market, Smith underlined the significance of competition. Due to technological improvements, improved information accessibility, and the growth of international

trade, competition is now more pronounced than ever in the modern, globalized economy. According to Smith, people would allocate resources effectively if they acted in their own best interests. The pursuit of wealth and financial gain by people and businesses means that this principle is still important today. Smith's theory also highlights the importance of supply and demand in setting market pricing and quantity. Today's consumer tastes, technology advancements, and governmental legislation all have an impact on supply and demand dynamics. Smith promoted the division of labor since it boosts economic growth and productivity. As businesses and people specialize in different areas and jobs, this idea is still relevant today.

According to Smith's theory, prices and quantities will inevitably find an equilibrium state in which supply and demand are equal. Today, the idea of equilibrium is a key idea in economics and is used to examine a range of markets and sectors. Smith supported minimal government involvement in the economy, mainly to uphold property rights and guarantee a level playing field. The question of how much government interference is necessary in the modern world is still up for dispute, with social welfare initiatives, regulation, and taxation all being taken into account. In today's interconnected global economy, Smith's theories on international commerce, notably the concept of comparative advantage, have gained even greater significance. Just as Smith envisioned, nations participate in commerce to maximize their economic prosperity. Smith's theory does not fully address income distribution, but in the modern setting, concerns about income inequality and its effects on society have gained more and more significance.

Adam Smith's theory of market equilibrium continues to have an impact on society today because it offers important insights into how competitive markets work and how individual self-interest can benefit society as a whole. Thought must also be given to modern economic and social issues, such as globalization, technological advancement, and the role of the government in tackling issues like income disparity and market failures.

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